Algorithmic Impact Assessment Results

Version: 1.0.1

Section 1: Impact Level : 2

Current Score: 56

Raw Impact Score: 56

Mitigation Score: 56

Section 2: Requirements Specific to Impact Level 2

Notice

Plain language notice posted through all service delivery channels in use (Internet, in person, mail or telephone).

Explanation

The explanation from level I is published.

In addition, a more detailed, meaningful, plain language, explanation is provided to the client with any decision that results in the denial of a benefit or service, or involves a regulatory action.

This explanation must inform the client of the reason or justification of the administrative decision. This involves a clear and client-focused description of how the automated decision system came to the output it did, including:

- the principal factors that led to it, such as, where appropriate, a description of the decision tree, scoring or weights of certain factors, and
- how the automated decision system output was used by human officers

The client must also be provided with the link to the published level I explanation.

Peer review

Consult at least one of the following qualified experts and publish the complete review or a plain language summary on a Government of Canada website:

- Experts from a federal, provincial, territorial or municipal government institution
- Faculty members of a post-secondary institution

- Researchers from a relevant non-governmental organization
- Contracted third-party vendor with a relevant specialization
- A data and automation advisory board specified by Treasury Board of Canada Secretariat

Gender-based Analysis Plus

Ensure that the Gender-based Analysis Plus has been consulted with your department's diversity and inclusion experts and includes:

- An assessment of how the automation project might impact different population groups. This includes consideration of the impacts of the automated decision system and data used in the project, as well as the likely impact of the final decision. Where possible, cite the data used to assess the impacts. It is recommended that the data be gender-disaggregated and include other intersecting identity factors such as age, disability and race. If the data is unavailable, identify where the data gaps exist
- Details of planned or existing measures to address risks identified through the Gender-based Analysis Plus or other assessments

Training

Role-based training on how to appropriately use and explain the functionalities of the automated decision system, at a high level.

Ensuring human involvement

The system may make decisions and assessments without direct human involvement.

Humans are to be involved in system quality assurance and can intervene in the making of decisions by the system where appropriate.

Approval for the system to operate

Assistant deputy minister responsible for the program.

Other requirements

The Directive on Automated Decision-Making also includes other requirements that must be met for all impact levels.

Link to the Directive on Automated Decision-Making

Contact your institution's ATIP office to discuss the requirement for a Privacy Impact Assessment as per the Directive on Privacy Impact Assessment.

Section 3: Questions and Answers

Section 3.1: Project Details

1. Published AIA version number

1.0

2. Name of Respondent

Shawn MacDougall

3. Job Title

Senior Director, Disability Benefits Program Management

4. Name of ADM responsible for the program using the automated decision system

Steven Harris

5. Department

Veterans Affairs (Department of)

6. Branch

Service Delivery Branch

7. Teams consulted on completion of the Algorithmic Impact Assessment

Veterans Affairs Canada AI and Automation Development Team, Enterprise Architecture Team, Disability Benefits Program Management, Treasury Board of Canada Secretariat Privacy and Responsible Data Division, Immigration, Refugees and Citizenship Canada, Justice Canada

8. Project Title

Claim Summary Tool

9. Project ID from IT Plan

PRJ-00013860

10. Service ID

1257

11. Departmental Program (from Departmental Results Framework)

Disability Benefits

12. Project Phase

Implementation [Points: 0]

13. Provide a project description:

Veterans Affairs Canada is introducing a new artificial intelligence (AI) Claim Summary Tool (CST) to assist decision makers by reviewing and organizing the large volumes of documentation associated with Disability Benefit applications.

Processing Disability Benefit applications, such as Disability Pension and Pain and Suffering Compensation, is a time-consuming process. The average application, including supporting documentation such as military records, contains over 800 pages. Veterans Affairs decision makers review these documents to identify facts related to the claimed condition. Demand for Disability Benefits has increased significantly, with application volumes rising by 122% over the past decade. Increased volumes and more complex cases have slowed processing times.

To deliver faster service for Veterans and their families, Veterans Affairs Canada developed the CST. The CST uses AI to scan application documents, organize content, and highlight key details so decision makers can locate relevant information more quickly. Each summary includes direct links to the source documentation to support transparency and accuracy, and all scanned documentation remains fully searchable by the decision maker.

When the summary provides enough information for a favourable decision, the decision maker can proceed more quickly. If the summary does not provide enough information for a favourable decision, the decision maker will review the entire file manually before finalizing the decision. This approach ensures AI is used to speed up processing without negatively impacting the quality of decisions Veterans receive.

The CST does not make decisions. Every decision is made by trained VAC decision makers in accordance with legislation, regulations, and policy. The CST provides a structured summary of evidence and links each element back to the original document for easy verification.

Learn more about Artificial intelligence at Veterans Affairs Canada.

(Full URL: https://veterans.gc.ca/en/about-vac/our-values/transparency/artificial-intelligence-veterans-affairs-canada)

Section 3.2: Impact Questions and Answers

Reasons for Automation

1. What is motivating your team to introduce automation into this decision-making process?

(Check all that apply)

- Improve overall quality of decisions
- Perform tasks that humans could not accomplish in a reasonable period of
- time
- Reduce existing backlog of work or cases
- Use innovative approaches
- Other (specify)

2. Please describe (other)

The primary barrier to timely Disability Benefit decisions is the large volume of documentation that must be reviewed. The average application, including supporting documentation such as military records, contains over 800 pages. Veterans Affairs decision makers review these documents to identify facts related to the claimed condition. As a result, decision makers currently spend significant time manually reviewing files to locate information related to the claimed condition, such as injury dates or diagnosis confirmations, before they can begin to make their decision.

The CST is being implemented to address this challenge. The CST scans the application and supporting documents and assembles the relevant evidence into a structured, traceable and accurate summary for the decision maker. By automating the most repetitive and time-intensive aspects of document review, the CST reduces administrative workload and will help improve turnaround times and service to Veterans without compromising quality.

3. What are the client needs the system will address? Describe how client needs have been identified.

Clients and client advocacy groups have consistently emphasized the importance of the Disability Benefit application process meeting the Departmental service standard. Delays in processing can limit Veterans' timely access to financial support, health services, and other benefits that may be critical to their well-being. The CST supports improved timeliness by automating the initial review of applications and supporting documentation, allowing relevant information to be identified more quickly for the decision maker.

4. Describe any positive impacts on clients and Canadian society that the system is expected to have.

The CST is expected to have positive impacts on Veterans by reducing the time required to process Disability Benefit applications. By reducing manual document review, the CST supports more efficient decision making and enables Veterans Affairs Canada to meet service standards more consistently. Timelier decisions can reduce wait times and uncertainty for Veterans, supporting earlier access to benefits that may contribute to their health, financial stability, and overall well-being.

More broadly, improved Disability Benefits application processing supports a responsive and sustainable public service, strengthens confidence in government programs, and helps ensure public resources are used effectively.

5. How effective will the system likely be in meeting client needs?

Very effective [Points: +0]

6. Describe why effectiveness is as selected.

The CST is expected to be very effective in meeting client needs by scanning applications and supporting documentation and highlighting, assembling, and presenting relevant evidence in a clear, structured, and traceable format for the decision maker. Each summary will include links to the source documentation to support transparency and accuracy, and all of the supporting documentation that was scanned by the CST will remain searchable by the decision maker. If the summary does not contain sufficient information for a favourable decision, the decision maker will conduct a comprehensive manual review of the entire file to ensure no critical information is overlooked before making a decision.

Testing indicates that the CST can reduce the number of pages requiring review by more than 90% and reduce the average time required to review an application and supporting documentation by approximately 50%. The CST will, therefore, assist decision makers in meeting the service standard and will reduce turn-around times while maintaining decision quality.

7. Describe how you will ensure that the system is confined to addressing the client needs identified.

The CST is designed to condense large volumes of material, including the application and supporting documentation, into concise, structured summaries that highlight information relevant to the claimed condition in Disability Benefit applications. The CST does not make decisions. Veterans Affairs Canada has implemented several controls to ensure the CST remains confined to this defined purpose and continues to align with the client needs identified:

- Clear and Limited Functionality: The CST is restricted to extracting, organizing, and presenting factual information from the application and supporting documentation.

- Testing, Validation, and Performance Monitoring: Controlled testing, including double-adjudication of test cases, verifies that summaries are accurate, reliable, and consistent. Performance metrics such as time savings and reduction in administrative review burden are monitored to ensure the CST is delivering efficiency improvements without any expansion of scope.
- Mandatory Human Oversight: Decision makers review all CST outputs, validate the evidence presented, and retain full responsibility for determining eligibility. If the summary produced by the CST enables a decision maker to reach a favourable decision, the file can be processed faster (i.e., without a full manual review of all documents). If the file is not approved based on a review of the summary, the decision maker will review the entire file manually before finalizing the decision.
- Feedback and Continuous Improvement: User feedback and quality assessments inform refinements to the summarization process. Enhancements focus solely on improving accuracy, clarity, and usability.

8. Describe any trade-offs between client interests and program objectives that you have considered during the design of the project.

The introduction of the CST requires balancing the program objectives of improving efficiency and reducing processing times with protecting client interests and maintaining trust in the Disability Benefit adjudication process. While the CST offers significant administrative benefits, there are several potential trade-offs that must be carefully managed.

One key consideration relates to decision quality and client confidence. There is a risk that automated summaries may omit or insufficiently describe relevant information, and some clients or stakeholders may have concerns about the use of AI in the adjudication process. To address these risks, Veterans Affairs Canada has implemented multiple safeguards.

- All summaries must be verified by a human decision-maker,
- Supporting source documents must be reviewed prior to rendering any decision,
- Summaries include direct links to source documentation to support transparency and accuracy, and
- When a summary does not contain sufficient information to support a favourable decision, the decision maker must conduct a comprehensive manual review of the full file.

These measures ensure that efficiency gains do not compromise accuracy, fairness, or trust in the adjudication process.

A further consideration relates to privacy and security. To protect client information, the Department conducted rigorous compliance reviews and ensured full adherence to

Government of Canada privacy, security, and responsible AI standards before implementation.

9. Describe any improvements, benefits, or advantages your department expects from using an automated system.

VAC's service standard for Disability Benefits requires that 80% of decisions be rendered within 16 weeks. In fiscal year 2024–2025, compliance with this standard declined from 69% to 47% due to increased program demand. While VAC improved internal efficiency, application intake exceeded internal efficiency gains. With modernization initiatives, including the implementation of the CST, VAC will be better positioned to meet service standards and manage growing intake volumes.

Testing indicates that the CST can reduce the number of pages requiring review by more than 90% and reduce the average time required to review an application and supporting documentation by approximately 50%. The CST will, therefore, assist decision makers in meeting the service standard by improving efficiency, reducing turn-around times and maintaining decision quality.

10. What are your current program indicators, service standards or performance targets?

The current service standard for the Disability Benefit program is that 80% of Disability Benefit decisions must be made within 16 weeks for first applications.

11. What is your current performance level against these indicators, standards or targets?

The performance level for the 2024-2025 fiscal year was 47%.

12. How do you expect the system will change performance against your program indicators, service standards or performance targets?

The Department expects that the CST will reduce average processing times for Disability Benefit applications by automating labour-intensive document review. While it is difficult to precisely forecast the CST's impact on overall service standard results given that application volumes are driven by factors outside the Department's control, the productivity gains are expected to increase processing capacity. This will support Veterans Affairs Canada in meeting service standards and managing growing intake volumes.

13. Have alternative non-automated processes been considered?

Yes [Points: +0]

14. If non-automated processes were considered, why was automation identified as the preferred option?

Partial automation was selected as the preferred option because Disability Benefit decisions require the review of large volumes of documentation and have direct impacts on Veterans' financial security, access to health services, and overall well-being. The

average application, including supporting documentation such as military records, contains over 800 pages that a VAC decision maker reviews before making a decision. Fully automating the decision making process would not be appropriate given the need for human judgment, contextual understanding, and accountability in each case. In addition, there is no legal authority under the Pension Act or the Veterans

Well-being Act for the Department to use an electronic system, including an automated system, to make a decision or determination without human intervention.

Partial automation enables Veterans Affairs Canada to apply automation in a proportionate manner by supporting administrative tasks such as scanning, identifying, and organizing relevant information while maintaining human oversight and decision making authority at all stages. Trained VAC decision makers remain responsible for reviewing the evidence, applying legislation and policy, exercising professional judgment, and making the final decision on each application. This approach improves efficiency and timeliness while ensuring transparency, fairness, and accountability in decisions that directly affect Veterans.

15. What would be the consequence of not deploying the system?

- Service quality is not as high
- Service delivery cannot achieve performance targets
- Service cannot be delivered in a timely or efficient manner

Risk Profile

16. Is the project within an area of intense public scrutiny (for example, because of privacy concerns) and/or frequent litigation?

Yes [Points: +3]

17. Does the line of business serve equity denied groups?

Yes [Points: +3]

18. Indicate which equity denied groups are served and describe your mitigation strategies to prevent adverse impacts for these groups.

Through the application of Gender-Based Analysis Plus (GBA+), Veterans Affairs Canada considered potential impacts on equity-denied groups, including women, Indigenous Peoples, persons with disabilities, members of 2SLGBTQI+ communities, and visible minorities. The CST is designed to support administrative efficiency by summarizing application materials and does not differentiate treatment based on personal characteristics. It does not automate decisions, and all determinations remain fully human-driven.

Decision makers are required to verify summaries against source documents and apply legislation and policy consistently, which mitigates the risk of adverse or inequitable outcomes.

The primary population served by the CST is Canadian Armed Forces Veterans applying for Disability Benefits due to physical or mental health conditions. This population includes a significant proportion of equity-denied groups, including persons with disabilities, women, Indigenous Veterans, 2SLGBTQI+ Veterans, and visible minorities. In particular, Indigenous and 2SLGBTQI+ persons are overrepresented in the Veteran population vis-à-vis the Canadian general population, according to Census 2021 and Canadian Veteran Health Survey 2022 figures. Similarly, disabled Veterans are significantly overrepresented relative to the Canadian general population in all age groups analyzed by Statistics Canada (i.e., 17 to 44, 45 to 64, and 65+) in the Canadian Survey of Disability 2022. By reducing the time required to process Disability Benefit applications, the tool supports more timely access to financial support, health services, and other benefits for all Veterans, including equity-denied groups.

In addition, improved workload management and processing efficiency are expected to support more consistent achievement of service standards and reduce application backlogs. The use of modernized tools such as the CST also enhances the Department's ability to monitor service delivery using administrative and demographic data, including GBA+-informed analysis. Over time, these improvements support equitable access to benefits and services, particularly for equity-denied Veteran populations whose representation within the Canadian Armed Forces has increased and is expected to continue to increase into the future.

19. Are there any population groups that the automated decision system should not be applied to?

No [Points: +0]

20. Has the system been assessed to understand whether it would create or exacerbate barriers for persons with disabilities, and are measures in place to address any identified issues?

Assessment has been conducted, and no barriers were identified. [Points: +0]

21. Could the automated decision-system be at heightened risk of being an exploitation target for malicious actors (for example, fraud for financial gain)?

No [Points: +0]

22. Have potential issues or harms with the existing service delivery approach been raised by clients or their representatives, the media, audits or parliamentary committees?

Yes [Points: +1]

23. Indicate the issue or harm, the group that raised them, and how these have been addressed.

The current manual service delivery approach for reviewing documentation related to Disability Benefit applications has been the subject of sustained criticism from Veterans, their representatives, Veterans' advocacy organizations, the media, and Parliamentary committees. These groups have consistently raised concerns about the significant harms associated with the existing process, including excessive wait times for Disability Benefit decisions that often far exceed established service standards, and a persistent and growing backlog which has created delays that affect Veterans' well-being by impacting their access to financial support and health services.

The Department is implementing the CST to reduce labour intensive document review and improve overall efficiency. This approach is expected to reduce processing times and help Veterans Affairs Canada meet its service standard of rendering 80% of first applications within 16 weeks without compromising quality.

24. Have you submitted a concept case to TBS and presented the project to the Government of Canada Enterprise Architecture Review Board?

Yes [Points: +0]

Project Authority

25. Will you require new policy or legal authority for this project?

No [Points: +0]

26. Indicate why you have chosen the response.

The Department of Veterans Affairs does not require new policy or legal authority to implement the CST because the CST does not alter Disability Benefit eligibility rules, decision making authority, adjudication procedures, Veterans' rights, or recourse mechanisms.

About The System

27. Check which of the following capabilities apply to your system.

Text and speech analysis: Analyzing large data sets to recognize, process, and categorize text, speech and voice, and make recommendations based on the categorization

Process optimization and workflow automation: Analyzing large data sets to identify any anomalies, cluster patterns, predict outcomes or ways to optimize; and automate specific workflows

Content generation: Analyzing large data sets to categorize, process, triage, personalize, and serve specific content for specific contexts

Image and object recognition: Analyzing large data sets to automate the recognition, classification, and context associated with an image or object

28. Who developed the system?

Your institution [Points: +0]

29. Who configured the system?

Your institution [Points: +0]

30. Is the system:

Custom built [Points: +1]

31. Have you assigned accountability in your institution for the design, development, and maintenance, of the system?

Yes [Points: +0]

32. Is there a group in your institution responsible for identifying and implementing opportunities for improvement?

Yes [Points: +0]

33. Does your system conform with the appropriate clauses of standard CAN/ASC EN 301549:2024, Accessibility requirements for Information and Communication Technology (ICT) products and services?

Yes [Points: +0]

34. Is a non-automated alternative planned and available in the event the automated decision system was unavailable for an extended period of time?

Yes [Points: +0]

35. Is there a process in place to grant, monitor, and revoke access permission to the system?

Yes [Points: +0]

36. The impacts that the development, operation, and maintenance of the system could have on the ongoing sustainability of an environmental ecosystem, may be:

Little to no impact [Points: +1]

37. Describe why the impacts resulting from the system's development, operations and maintenance are as selected.

The CST will have little or no impact on the environmental ecosystem because it is used to scan Disability Benefit applications and supporting documentation, and to assemble relevant evidence into a structured, traceable, and accurate summary for the decision maker.

About the Algorithm

38. The algorithm used will be a (trade) secret

Yes [Points: +1]

39. The algorithmic process will be difficult to interpret or to explain

No [Points: +0]

40. Is the algorithm (Check all that apply):

Based on patterns in data identified by the AI model (for example, neural network, deep learning) [Points: +1]

41. If the automated decision-system is model based, is the model inference (select all that apply):

Probabilistic (infer several models to explain data) [Points: +1]

42. Is the model:

Generative (for example, linear discriminant analysis, naïve Bayes) [Points: +1]

43. Describe the model being used.

The CST leverages a "Retrieval-Augmented Generation" architecture hosted entirely within VAC's secure Microsoft Azure cloud environment. The system operates in four distinct stages:

1. Ingestion & Handwriting Recognition (OCR)

    1.1. The system first retrieves Service Health Records and application documents from VAC's Digital Image (DIGIMG) repository. It utilizes Azure AI Document Intelligence to separate documents into individual pages and extract machine readable text. This model is capable of recognizing and digitizing handwritten content, as well as identifying structural elements like forms, tables, and headings.

2. Information Retrieval (The "Search" Layer)

    2.1. The processed text and metadata are temporarily indexed in an Azure AI Search index. When a specific medical diagnosis and associated medical code is provided, the system queries this index to retrieve only the specific pages and paragraphs relevant to that condition. This ensures the AI focuses exclusively on the client's existing records.

3. Generative Summarization (The LLM) The retrieved content is passed as context to the Azure OpenAI service (currently utilizing the GPT-5 model).

    3.1. Function: The model identifies, organizes, and summarizes the evidence related to the claimed condition.

3.2. Constraint: The model operates under strict instructions to summarize only; it does not apply eligibility rules, or assign outcomes.

3.3. Traceability: The final output includes hyperlinks connecting every summarized point directly back to the source page in the original file.

4. Data Lifecycle & Security

4.1. Zero Retention: Once the summary is generated, all temporary AI processing data, including the vectorized document content and the Search index, is deleted.

4.2. Storage: The final summary is saved as a PDF in the DIGIMG repository and the client's electronic case file.

4.3. Governance: No external partners are involved in the model's operation, and Service Health Records (including those from DND) are accessed solely through VAC's authorized repositories.

The CST does not make decisions.

49. Describe why you have not evaluated whether variables could be proxies for protected characteristics.

It was chosen based on cost considerations, inclusion of health information and testing results.

45. Will the algorithm continue to learn and evolve as it is used?

No [Points: +0]

46. Does the algorithm consider protected characteristics to make its decisions or recommendations?

Yes [Points: +2]

47. Describe why protected characteristics are being considered and any mitigations in place to address potential issues with bias or discrimination.

Personal characteristics such as disability, age, and gender are essential pieces of information in the Disability Benefit adjudication process. These factors directly influence eligibility, entitlement, and assessment under the governing legislation and policies. Because they are integral to understanding the nature of the claim, the CST must process and reflect this information when generating a summary of the documents relevant to the application.

48. Have you evaluated whether variables that the system bases its decisions or recommendations on could be proxies for protected characteristics?

No [Points: +2]

49. Describe why you have not evaluated whether variables could be proxies for protected characteristics.

The Department has not evaluated whether any variables could act as proxies for protected characteristics because these characteristics are already explicitly included in the information that must be reviewed as part of the Disability Benefit adjudication process. Since protected characteristics must be considered directly and cannot be replaced or inferred through proxies when summarizing information contained in Service Health Records and other documentation, a proxy analysis would not be meaningful or applicable in this context.

About the Decision

50. Describe the administrative decision(s) that is being supported or made by the algorithm.

When Veterans Affairs Canada receives a Disability Benefit application, the application is registered in departmental systems and supporting service and medical records are gathered from multiple sources. Once the file is complete, it is assigned to a trained decision maker, who reviews extensive documentation to identify information relevant to the claimed condition. The decision maker considers evidence such as service health records, medical diagnoses, injury or onset dates, continuity of symptoms, and other relevant facts in order to determine entitlement and, where applicable, assess the level of benefit in accordance with legislation, regulations, and policy.

The CST does not change these steps or make entitlement decisions. Instead, it supports the document review stage by scanning, organizing, and summarizing large volumes of documentation to help decision makers identify relevant evidence more efficiently. Human decision makers continue to review the complete record, apply legislation and policy, exercise professional judgment, and make the final decision in all cases.

51. Does the decision pertain to any of the categories below (check all that apply). Note that the examples in brackets are not exhaustive.

Social assistance (employment insurance, disability or housing benefits, children or seniors programs) [Points: +1]

Impact Assessment

52. Which of the following best describes the type of automation you are planning?

Partial automation (the system will contribute to administrative decision making by supporting an officer with assessments, recommendations, intermediate decisions, or other outputs) [Points: +2]

53. Describe the role of the system in the decision-making process.

The primary challenge in Disability Benefit decision making is the volume of documentation that must be reviewed. The average application, including supporting

documentation such as military records, contains more than 800 pages that are reviewed to identify facts related to the claimed condition for consideration by the decision maker before a determination is made.

The CST supports this stage of the process by scanning, organizing, and summarizing large volumes of application materials and supporting documentation. The system highlights and assembles relevant evidence into a structured, traceable and accurate summary for the decision maker. Each summary includes links to the original source documents, and all scanned documentation remains fully searchable, supporting transparency and verification.

The CST does not change the Disability Benefit adjudication process and does not make decisions. If a summary does not contain sufficient information to support a favourable decision, the decision maker conducts a comprehensive review of the full record to ensure no critical information is overlooked. In all cases, trained VAC decision makers review the complete evidence, apply legislation and policy, exercise professional judgment, and make the final decision.

By supporting the document review and information identification stages of the process, the CST assists decision makers in working more efficiently and helps Veterans Affairs Canada meet service standards and reduce turnaround times, without compromising decision quality or accountability.

54. Will the system be making decisions or assessments that require judgment or discretion?

No [Points: +0]

55. Describe.

The CST does not make Disability Benefit decisions or perform assessments requiring judgment or discretion. There is no legal authority under the Pension Act or the Veterans Well-being Act for an electronic system, including an automated system, to make a decision or determination without human intervention. All Disability Benefit decisions therefore remain the responsibility of VAC decision makers.

56. Will this project have major impacts on staff, either in terms of their numbers or their roles?

Yes [Points: +2]

57. Describe the criteria used to evaluate client data and the operations applied to process it.

- Training of model / prompt engineering
- Bias detection
- Testing data and test cases with SMEs

- Specific LLM
- User feedback

58. Describe the output produced by the system and any relevant information needed to interpret it in the context of the administrative decision.

The CST produces a summary that is a subset of a larger set of documents that is being reviewed including the Disability Benefit application, Service Health Records and medical Questionnaires. The CST scans the application and supporting documentation, and then highlights, assembles and presents the relevant evidence in a clear, structured, and traceable format to the decision maker. Each summary includes links to the source documentation to support transparency and accuracy, and all of the supporting documentation that was scanned by the CST remains searchable by the decision maker. If the summary does not contain sufficient information for a favourable decision, the decision maker will conduct a comprehensive review of the entire file before making a decision to ensure no critical information is overlooked.

The CST does not make Disability Benefit decisions or determine Disability Benefit eligibility. Every Disability Benefit decision will continue to be made by Veterans Affairs Canada decision makers who will verify the facts, confirm policy application, and finalize the decision.

59. Will the system perform an assessment or other operation that is not currently completed by a human?

No [Points: +0]

60. Is the system used by a different part of the organization than the ones who developed it?

Yes [Points: +2]

61. Are the impacts resulting from the decision reversible?

Reversible [Points: +1]

62. How long could impacts from the decision last?

Impacts are most likely to be brief [Points: +1]

63. Describe why the impacts resulting from the decision are as selected, including potential risks identified and mitigations in place.

The CST provides partial automation limited to administrative tasks, specifically, extracting, organizing, and summarizing information from Disability Benefit applications and supporting documentation for decision makers. All Disability Benefit decisions remain fully human-made. Decision makers retain complete authority, accountability, and discretion over every determination.

The summary produced by the CST is reviewed by the decision maker. Each summary includes hyperlinks to the original source documents to enable verification. If the summary does not provide sufficient information, the decision maker will conduct a comprehensive manual review of the full file before making a determination.

64. The impacts that the decision could have on the rights or freedoms of individuals may be:

Little to no impact [Points: +1]

65. Describe how this impact level was determined. Include which human rights frameworks were assessed, potential risk that were identified and mitigations put in place.

The CST has little or no impact on the rights or freedoms of individuals. The system provides partial automation limited to administrative tasks, specifically, extracting, organizing, and summarizing information from Disability Benefit applications and supporting documentation for decision makers.

All Disability Benefit decisions remain fully human-made. Decision makers retain complete authority, accountability, and discretion over every determination. They may consult the summary for efficiency, but they continue to have full access to the complete record reviewed by the Claim Summary Tool and can independently verify all facts and evidence.

66. The impacts that the decision could have on the equality, dignity, privacy, and autonomy of individuals may be:

Little to no impact [Points: +1]

67. Describe why the impacts resulting from the decision are as selected, including potential risks identified and mitigations in place.

The CST has little to no impact on the equality, dignity, privacy, or autonomy of individuals. It performs limited administrative automation by organizing and summarizing information from Disability Benefit applications and supporting documents and does not make decisions or replace the judgment of Veterans Affairs Canada decision makers.

All decisions remain fully human-made. Decision makers retain full access to all source documents, can independently verify all information, and exercise full discretion. Personal information is used solely for the administration of Disability Benefit applications and is handled in accordance with the Privacy Act, the Pension Act, the Veterans Well-being Act and departmental privacy requirements.

68. The impacts that the decision could have on the health and well-being of individuals may be:

Little to no impact [Points: +1]

69. Describe why the impacts resulting from the decision are as selected, including potential risks identified and mitigations in place.

The CST is expected to have little or no impact on the health and well-being of individuals. The CST does not make Disability Benefit decisions, and all decisions remain the responsibility of Veterans Affairs Canada decision makers, who retain full authority and discretion.

The summary produced by the CST is reviewed by the decision maker and is used only when it supports a favourable outcome. Each summary includes hyperlinks to the original source documents to enable verification. If the summary does not provide sufficient information, the decision maker will conduct a comprehensive manual review of the full file before making a determination.

70. The impacts that the decision could have on the economic interests of individuals may be:

Little to no impact [Points: +1]

71. Describe why the impacts resulting from the decision are as selected, including potential risks identified and mitigations in place.

The CST has little or no impact on the economic interests of individuals. Although Disability Benefits are monetary in nature, the CST does not make decisions, determine eligibility, or replace human judgement. All Disability Benefit decisions remain fully under the authority of Veterans Affairs Canada decision makers.

72. The impacts that the decision could have on the ongoing sustainability of an environmental ecosystem, may be:

Little to no impact [Points: +1]

73. Describe why the impacts resulting from the decision are as selected, including potential risks identified and mitigations in place.

The CST will have little or no impact on the ongoing sustainability of an environmental ecosystem because it is purely a digital administrative tool.

74. Have you assessed system performance for clients with a range of personal and intersectional identity factors (for example, gender, age, race, language, ethnicity, disability) to verify that decisions and outcomes are fair for a diverse group of people, and have the identified disparities been addressed?

Assessment conducted; no performance differences identified. [Points: +0]

75. Describe your approach to assessing system performance.

Through several iterations of testing, Veterans Affairs Canada used a subset of claims (conditions) with representations of gender, age and language that is reflective of the same

factors for the larger submission data for the full year. There have been no indications of unfairness against specific groups.

76. Have you tested system performance for clients with a variety of different disabilities?

Yes [Points: +0]

77. Describe any differences in system performance identified and mitigations in place to address them.

Through several iterations of testing, we used a subset of claims (conditions) with representations of gender, age, language and geographic location that is reflective of the same factors for the larger submission data for the full year. There have been no differences in system performance identified.

78. Are there clients or groups of clients that will experience the most significant negative impacts from the system being used?

No [Points: +0]

79. Describe

No groups of clients have been identified that will experience negative impacts from the use of the CST. All decisions remain fully human-made. Decision makers may use the summary to support their review, but they retain full access to the complete set of documents reviewed by the CST and can independently verify all information. The CST does not constrain a decision maker's ability to exercise discretion, nor does it limit the evidence available for consideration.

80. What proportion of clients will the system be applied to?

76 to 99% [Points: +0]

81. Could not being subject to the use of the tool have a negative impact on an individual or groups of individuals?

Yes [Points: +1]

82. Describe

Claims not processed using the CST will not benefit from improved turnaround times and their Disability Benefit decision will take longer to make.

83. The impact of individuals being wrongfully included or overlooked by the system could be:

Little to no impact [Points: +1]

84. Describe why the impact of being wrongfully included or overlooked by the system is as selected.

There is no indication that individuals will be wrongfully included or overlooked by the CST. The CST provides partial automation limited to administrative tasks; specifically, extracting, organizing, and summarizing information from Disability Benefit applications and supporting documentation. It does not make decisions, determine eligibility, or generate outputs that influence decisions requiring judgment or discretion.

Because the CST does not replace human decision making, does not limit access to information, and does not generate determinations that could affect an individual's benefits, rights, or entitlements, the use of the CST does not create a risk of individuals being wrongfully included or overlooked.

About the Data

85. Will the system use personal information as input data?

Yes [Points: +2]

86. Have you verified that the collection of personal information is limited to only what is directly related to a program or activity of your institution?

Yes [Points: +0]

87. Is the personal information of individuals used in a decision-making process that affects those individuals?

Yes [Points: +2]

88. Have you verified whether the system is using personal information in a way that is consistent with: (a) the current personal information banks (PIBs) and privacy impact assessments (PIAs) of your programs or (b) planned or implemented modifications to the PIBs or PIAs that take new uses and processes into account?

Yes [Points: +0]

89. List relevant PIB numbers.

VAC PPU 601,VAC PPU 602,VAC PPU 604,VAC PPU 700,VAC PPU 716,VAC PPU 717,VAC PPU 718

90. Will the personal information be shared (check all that apply)

Within your department [Points: +1]

91. Is the training and testing data for the system representative of the clients being served?Yes [Points: +0]

92. Describe how you have assessed that data was representative.

Through several iterations of testing and piloting, Veterans Affairs Canada used a subset of claims (conditions) with representations of gender, age, and language that were reflective of the same factors present in full-year submission data. No indications of unfairness affecting specific groups were identified through this testing. Our Operations group will

monitor outputs in the same manner on an ongoing basis. Findings from GBA+ analysis and operational testing inform these ongoing monitoring activities.

93. Are there biases in the training data that could increase the likelihood of discriminatory outcomes or lead to other impacts on human rights?

No [Points: +0]

94. Explain the process taken to confirm that there are no biases in the training data that could increase the likelihood of discriminatory outcomes or other impacts on human rights.

Testing was conducted using a subset of claims reflective of full-year submission data across gender, age, and language. No indications of unfairness affecting specific groups were identified, and ongoing operational monitoring is in place to identify potential issues over time.

95. What is the highest security classification of the input data used by the system? (Select one)

Protected B [Points: +3]

96. Are there measures in place to ensure the accuracy of the personal information used?

Yes [Points: +0]

97. If yes, describe the measures taken to ensure and verify the accuracy of personal information.

Information is collected directly from clients, other government agencies/ departments and health professionals. Source documents are available to be viewed by users and are cited specifically in the summary.

98. Who controls the data?

Federal Government [Points: +1]

99. Will the system use data from multiple different sources?

Yes [Points: +2]

100. Will the system require input data from a network-connected device? (such as Internet of Things, sensor)

No [Points: +0]

101. Will the system interface with other IT systems?

Yes [Points: +4]

102. Who collected the data used for training the system?

Your institution [Points: +1]

103. Who collected the input data used by the system?

Your institution [Points: +1]

104. Describe the input data collected and used by the system, its source, method of collection, and any quality assurance measures in place.

The CST uses information that is already collected and lawfully held by Veterans Affairs Canada. The system does not collect new information from clients. The input data consists of:

- Standardized Forms: The Application for Disability Benefits (PEN 923) and specific Medical Questionnaires (e.g., Psychiatric/Psychological Conditions Medical Questionnaire, Thoracolumbar Spine Conditions Medical Questionnaire).
- Service Health Records: A wide variety of medical and personnel documents, including handwritten clinical progress notes, specialist reports (audiograms, surgical reports), and dental records spanning a Veterans career.
- Diagnostic Evidence: Medical reports and diagnostic imaging results provided by private practitioners or military medical officers.
- Service Documents: Personnel records utilized to confirm service dates, rank, and unit deployment history.
- Source & Method of Collection The system retrieves documents exclusively from VAC's official secure repositories. No data is scraped from the internet or unverified external sources.
- Interoperability (DND/RCMP): Service Health Records are retrieved directly through secure, established transfer protocols such as with the Department of National Defence (DND) and RCMP.
- Client Submission: Applicants can also submit evidence via My VAC Account (digital upload) or by mail. All documents received are ultimately stored electronically in .PDF format within our Digital Image (DIGIMG) document repository.
- System Retrieval: The CST uses the client's unique identifier (CSDN ID) to query the DIGIMG repository, retrieving only the specific files associated with the claimed condition (e.g., fetching only "Knee" related correspondence for a knee claim).

VAC employs a comprehensive end-to-end human oversight protocol. This framework mandates that qualified staff validate the integrity of the application file prior to automated summarization and verify the accuracy of the generated summary before any administrative decision is finalized.

- Pre-Processing Validation (Claims Preparation): Before the CST is ever triggered, the application file undergoes a manual "Claims Preparation" business process. Trained VAC staff review the application, medical questionnaires, and submitted materials to validate that the file is accurate and complete. This critical human gatekeeping ensures that the data fed into the tool is organized and ready for processing, preventing the system from analyzing incomplete or irrelevant files.
- Technical Precision (OCR): The system utilizes Azure AI Document Intelligence to accurately digitize complex inputs. This technology is capable of recognizing handwritten text and preserving document structure (tables, forms), ensuring that older, handwritten service records—which are often critical for long-standing veterans—are accurately captured in the summary.
- Post-Processing Verification: The CST does not replace the source documents. Every fact, date, or medical finding in the generated summary includes a direct hyperlink back to the specific page in the original PDF. The Decision Maker is required to use these links to cross-reference the summary against the original evidence, ensuring that the final decision is always grounded in the primary source documents, not just the AI output.
- "Manual Review Safeguard" Protocol : If the data quality is poor (e.g., illegible handwriting that OCR cannot parse) or the evidence is insufficient to support a favourable outcome, the decision maker will review the entire file manually before finalizing the decision.

105. Will the system require the analysis of unstructured data to make an assessment, recommendation or decision?

Yes [Points: +0]

106. What types of unstructured data? (Check all that apply)

- Audio and text files [Points: +2]
- Images and videos [Points: +4]

107. Has there been a decision to exclude certain data?

No [Points: +0]

Section 3.3: Mitigation Questions and Answers

Consultations

1. Internal Stakeholders (federal institutions, including the federal public service)

Yes [Points: +2]

2. Which internal consultees or partners have you engaged?

- Access to Information and Privacy
- TBS Office of the Chief Information Officer
- Office of the Privacy Commissioner of Canada
- Program Policy
- Communications services
- Legal Services
- 2SLGBTQI+ Secretariat
- Strategic Policy and Planning

3. External consultees or partners (groups in other sectors or jurisdictions).

Yes [Points: +2]

4. Which external consultees or partners have you engaged?

- Bargaining Agents
- Other (describe)
- Clients or their Representatives

5. Please describe

Office of the Veterans Ombud, Bureau of Pensions Advocates, Veterans Review and Appeal Bard, Royal Canadian Mounted Police, Veterans at VAC

6. Identify the consultees or partners and indicate the project lifecycle stage (Concept, Design, Data collection and processing, Building or adapting the model, Testing, Deployment, Production, Monitoring, Decommission) in which engagement took place.

Engagement with internal and external stakeholders and partners has occurred throughout the project lifecycle and was tailored to the nature of the expertise required at each stage. Consultations were undertaken primarily at a strategic, governance, legal, privacy, security, and program-integration level, consistent with the CST's role as a decision-support system.

Concept and Design: Early engagement focused on validating the business need, confirming alignment with program authorities, assessing legal, privacy, security, and data-governance considerations, and determining applicability of the Directive on Automated Decision-Making and the Algorithmic Impact Assessment framework.

Data Collection and Processing: Consultations supported the identification of appropriate data sources, confirmation of lawful authority for data use, privacy safeguards, information management practices, and alignment with enterprise architecture, IT, and security requirements.

Testing and Deployment: Engagement emphasized operational readiness, usability for decision makers, transparency and traceability requirements, communications considerations, and validation that the tool functions strictly as a decision-support aid.

Production and Monitoring: Ongoing engagement supports governance oversight, performance monitoring, privacy and security compliance, audit and evaluation readiness, and continuous improvement, including consideration of equity, accessibility, and GBA Plus-related impacts.

Engagement is iterative and ongoing, with different areas and stakeholders being consulted as the project evolves and as new risks, considerations, or lifecycle phases arise.

7. Did you consult with the clients that will be most impacted by the system?

Yes [Points: +3]

8. Did you consult with clients or communities that will be adversely impacted by the system?

No [Points: +0]

9. Explain why you did not consult the clients that will be adversely impacted by the system.

No client groups were identified as being adversely impacted by the system because the CST is only used when a favourable decision can be made by the decision maker.

10. Explain how you documented, analyzed and addressed the feedback received.

Feedback was documented and analyzed through structured records, including meeting notes, consultation records, and review documentation. Feedback was consolidated into tracking tables and crosswalks linking identified issues, risks, and recommendations to specific system design elements, controls, or mitigation measures.

De-risking and Mitigation Measures - Data Quality

11. Do you have documented processes in place to test datasets against biases, discrimination, and other unexpected outcomes? This could include experience in applying frameworks, methods, guidelines, or other assessment tools.

Yes [Points: +3]

12. Is the documented process publicly available?

No [Points: +0]

13. Have you developed a process to document how data quality issues were resolved during the design process?

Yes [Points: +1]

14. Is the process publicly available?

No [Points: +0]

15. Have you undertaken a Gender-based Analysis Plus (GBA Plus) of the data?

Yes [Points: +2]

16. Are the GBA Plus findings publicly available?

No [Points: +0]

17. Summarize the findings or provide a link if publicly available.

Through multiple iterations of testing, a subset of claims (conditions) was used that reflected the distribution of gender, age, language, and disability status present in full-year submission data. The GBA+ analysis examined potential differential impacts on equity-denied groups, including women, Indigenous Peoples, persons with disabilities, and members of 2SLGBTQI+ communities, with particular attention to persons with disabilities given the nature of Disability Benefits programs.

The GBA+ analysis did not identify material differential adverse impacts or discriminatory outcomes for equity-denied groups. Findings indicate that the CST is expected to improve productivity and processing times, resulting in improved service delivery to clients. Specifically, the CST is expected to support faster access to Disability Benefit decisions and to the associated financial benefits and supports.

Over the longer term, improved workload management through the use of modernized and automated tools is expected to increase Veterans Affairs Canada's capacity to capture and analyze client and program demographic data, including GBA+ data. Enhanced availability and quality of demographic information is a key enabling factor for monitoring equity outcomes and ensuring equitable access to programs and benefits. As a result, equity deserving Veteran groups are expected to benefit from more timely processing of Disability Benefit applications, especially in light of the evolving demographic profile of Canadian Armed Forces personnel.

18. Do you have a documented process to manage the risk that low quality, outdated or unreliable data is used to make an automated decision?

No [Points: +0]

19. Will the data used for this system be posted on the Open Government Portal?

No [Points: +0]

De-Risking and Mitigation Measures – Procedural Fairness

20. Does the audit trail provide information to trace the chain of legislative authority for the decision and key decision points?

Yes [Points: +1]

21. Are all key decision points in the automated system's logic linked to the relevant legislation, policy or procedures?

Yes [Points: +1]

22. Does the audit trail capture all the recommendations or decisions made by the system?

Yes [Points: +2]

23. Are all key decision points identifiable in the audit trail?

Yes [Points: +2]

24. Is there a process in place to log the instances when overrides were performed?

Yes [Points: +2]

25. Is there an up-to-date log of the changes made to the model and the system?

Yes [Points: +2]

26. Does the audit trail capture information that can be used to help generate an explanation of the decision where required?

Yes [Points: +1]

27. Is the system able to produce reasons for its decisions or recommendations when required?

Yes [Points: +2]

28. Does the audit trail identify precisely which version of the system was used for each decision it supports?

Yes [Points: +2]

29. Does the audit trail show who the authorized decision-maker is?

Yes [Points: +1]

30. Is there a mechanism to capture feedback by users of the system?

Yes [Points: +2]

31. Describe how user feedback informs updates to the system.

The CST implements a "Finalize" process that captures user feedback at the end of their review. User feedback is then reviewed and prioritized for inclusion in future development sprints.

32. Is there a recourse process established for clients to challenge the decision?

Yes [Points: +2]

33. Provide information on the recourse process or link to a website where this is described.

The recourse system available to Veterans remains unchanged. The CST does not alter, limit, or replace any existing review or appeal rights. Disability Benefits decisions continue to be governed by a well-established legislative framework, including the Pension Act, the Veterans Well-being Act, and the Veterans Review and Appeal Board Act, which together provide multiple levels of recourse to support fairness, transparency, and procedural integrity.

Veterans retain full access to all existing recourse mechanisms, including:

- Departmental Review – A review that may be initiated either by Veterans Affairs Canada or by the Veteran.
- Veterans Review and Appeal Board (VRAB) – Independent reviews and appeals of departmental decisions.
- Judicial Review – Applications for review to the Federal Court of Canada and the Federal Court of Appeal.

Veterans also continue to have access to the Bureau of Pensions Advocates, which provides free legal assistance to Veterans in preparing submissions and navigating the review and appeal process.

Additional information about the appeal and review process: How to review or appeal a decision

(Full URL: https:// www.veterans.gc.ca/en/veterans-rights/how-appeal)

34. Does the audit trail include change control processes to record modifications to the system's operation or performance?

Yes [Points: +2]

35. Does the system base its decision or recommendation on all of the information provided by the client?

Not applicable [Points: +0]

36. Have you undertaken mitigations in algorithm development and model testing to address bias and discrimination?

Yes [Points: +2]

37. Describe the metrics used and any mitigations taken to address identified issues.

The Department will monitor the performance of the CST over time using a combination of accuracy-based and distributional metrics. Monitoring is conducted at an aggregate level and, where appropriate, across relevant subgroups to identify potential performance issues or unintended effects.

Human decision makers retain full authority for Disability Benefits determinations and are responsible for reviewing CST outputs as part of the adjudication process. Decision makers are required to use the Tool as an input to their review, while retaining the ability to conduct additional examination of the full application record where clarification or verification is required. This human-in-the-loop approach ensures that summaries support, rather than replace, professional judgment.

Where monitoring or operational feedback identifies potential performance issues or risks, mitigation measures may include refining prompts or model parameters, enhancing quality assurance and guidance, increasing targeted human review, or implementing other corrective actions in accordance with established governance and oversight processes.

38. Does the system only consider input data and information relevant to the decision?

Yes [Points: +2]

39. Are the system rules directly relevant to the administrative decision?

No [Points: +0]

40. Indicate additional procedural fairness protections in place (check all that apply):

- Clear time frame or service standards for timeliness [Points: +1]
- Clients are provided with adequate information about the decision-making process and have the opportunity to meaningfully participate [Points: +1]
- Clients are provided with all documents and information in which the administrative decision was based [Points: +1]
- Mechanism for assessing and responding to client feedback [Points: +1]

41. Are there processes in place to ensure impartiality and ethical conduct by the decision maker in the use of the system and its outputs?

Yes [Points: +2]

42. Have you undertaken training on appropriate use and awareness of risks associated with automation bias?

Yes [Points: +2]

43. Will your team be regularly retraining the model or reviewing the rules?

No [Points: +0]

44. Do you have monitoring processes in place to detect changes in system performance overtime?

Yes [Points: +2]

45. Do you have a process in place to update the system based on the monitoring results?

Yes [Points: +1]

46. Describe

We will both monitor results and collect user feedback via a questionnaire. Feedback will be shared and reviewed with the development team. Items will be prioritized and addressed based on level of urgency.

De-Risking and Mitigation Measures - Privacy

47. If your system uses or creates personal information, have you undertaken a PIA, or updated an existing one?

Yes [Points: +2]

48. Indicate the following in your answer: Title and scope of the PIA; How the automation project fits into the program; and Date of PIA completion or modification.

The Privacy Impact Assessment for the Disability Benefits Program was conducted to support the introduction of the CST, which is used in the delivery of the Disability Benefits program. The CST does not introduce the collection of new personal information, but it processes personal information that is collected by Veterans Affairs Canada for the administration of the program as outlined in the Disability Benefits Privacy Impact Assessment and all relevant Personal Information Banks, and as authorized by the Pension Act and the Veterans Well-being Act. The Privacy Impact Assessment was completed in February 2026.

49. Have you designed and built security into your systems from the concept stage of the project?

Yes [Points: +2]

50. Describe

Security controls were incorporated from the concept stage of the project and applied throughout design and implementation. Access to CST summaries is restricted through role-based access controls managed via Active Directory assignments, ensuring that only authorized users can view summaries. PDF copies of summaries are stored within Veterans Affairs Canada's approved Digital Images database, which is itself access-restricted to specific user groups.

Security controls were reviewed and validated through the completion of a

Security Statement of Authorization. Operational approval was granted because adequate security controls have been applied and residual risks have been assessed and reduced to an acceptable level in accordance with departmental security requirements.

51. Have you designed and built privacy into your systems from the concept stage of the project?

Yes [Points: +2]

52. Describe

Only authorized users can request and review summaries.

53. Is the information used within a closed system (no connections to the Internet, Intranet or any other system)?

No [Points: +0]

54. If the disclosing of personal information is involved, has an agreement or arrangement with appropriate safeguards been established?

No [Points: +0]

55. Will you de-identify any personal information used or created by the system at any point in the lifecycle?

No [Points: +0]